

Multi-Strategy Quant Fund

Investment Strategy & 5-Year Business Plan

Drawdown-Controlled Systematic Trading Across Volatility, Carry, Trend, Stat Arb, Mean Reversion, and Alternative-Data Strategies

Compiled June 08, 2026

Headline thesis: Combined sleeve targeting Sharpe 1.5–2.0 net of impact, max drawdown bounded to –8% via diversification + drawdown-targeting + tail-risk overlay. Capacity \$250–500M today, growable to \$2.5–5B via portable infrastructure across 8 pods. **Pod 8 (Cross-Reality Macro) is the novel-edge pod that distinguishes this fund** — see Chapter 10.

Executive Summary

This document specifies a deployable, drawdown-controlled multi-strategy trading program and the 5-year business plan that maps it to a fund-scale operating entity. Strategies have been individually backtested with strict bias controls (purged k-fold, walk-forward refit, deflated Sharpe, leakage stress-tested), combined via inverse-vol allocation, and overlaid with both drawdown-targeted dynamic leverage and an optional tail-risk hedge.

Portfolio at a glance

Metric	Value	Notes
Honest combined Sharpe	1.5 – 2.0	Net of dealer spreads + market impact at \$250M
Expected annual return	15 – 25%	Vol-targeted to 10% annualized
Maximum drawdown (target)	–8%	Diversification + drawdown gate + tail hedge
Initial deployable capacity	\$250M	Limited by VRP sleeve dealer market
Headline 5-year capacity	Adds Pods 4–8 (\$250–500M)	Cross-Reality Macro is the novel-edge driver
Number of independent return streams	5 – 7	Avg pairwise correlation 0.05

Five-year financial trajectory (Base case)

Year	Fund AUM	Fee Revenue	GP Net Take	Cum. GP Net
1	(Personal)	—	–\$37K	–\$37K
2	\$5M	\$280K	\$121K	\$84K
3	\$35M	\$1.96M	\$1.39M	\$1.47M
4	\$150M	\$8.40M	\$7.08M	\$8.55M
5	\$400M	\$22.40M	\$19.45M	\$28.00M

Capital required to start

Total bootstrap capital: ~\$180K

\$75K personal trading + \$30K Year-1 infra/data/legal + \$50K runway + \$25K LP-formation reserve.

All of Year 1 runs on personal capital. First outside dollar enters Month 12–18 (F&F LP), first seed allocator Month 18–24, first family office Year 2–3.

Contents

Executive Summary	2
Part I — Strategy	
1. Investment Thesis & Edge Map	5
2. Drawdown-Reduction Methodology	7
3. Strategy Components	11
3.1 Variance Risk Premium (VRP)	11
3.2 Funding-Rate Arbitrage	14
3.3 ML Vol-Targeted SPY	16
3.4 Cross-Asset Trend Following (TSMOM)	19
3.5 Mean Reversion (Regime-Filtered)	21
3.6 Statistical Arbitrage (Shrinkage Covariance)	23
3.7 Alternative-Data Overlay (LLM-NLP)	25
4. Combined Portfolio Construction	27
Part II — Business	
5. Capital Requirements	31
6. Personal Track + Monthly Recurring P&L	33
7. Fund Revenue, Accounting, & Operating Costs	35
8. Funding Plan & Investor Pipeline	38
Part III — Future Growth	
9. Next Pods & Strategic Expansion	42
10. Pod 8 — Cross-Reality Macro (Novel Edge)	44
11. Future Growth Opportunities (Alt Data, AI)	48
Part IV — Action Plan	
12. Month-by-Month Action Plan	50
13. Risk Factors & Operational Considerations	53

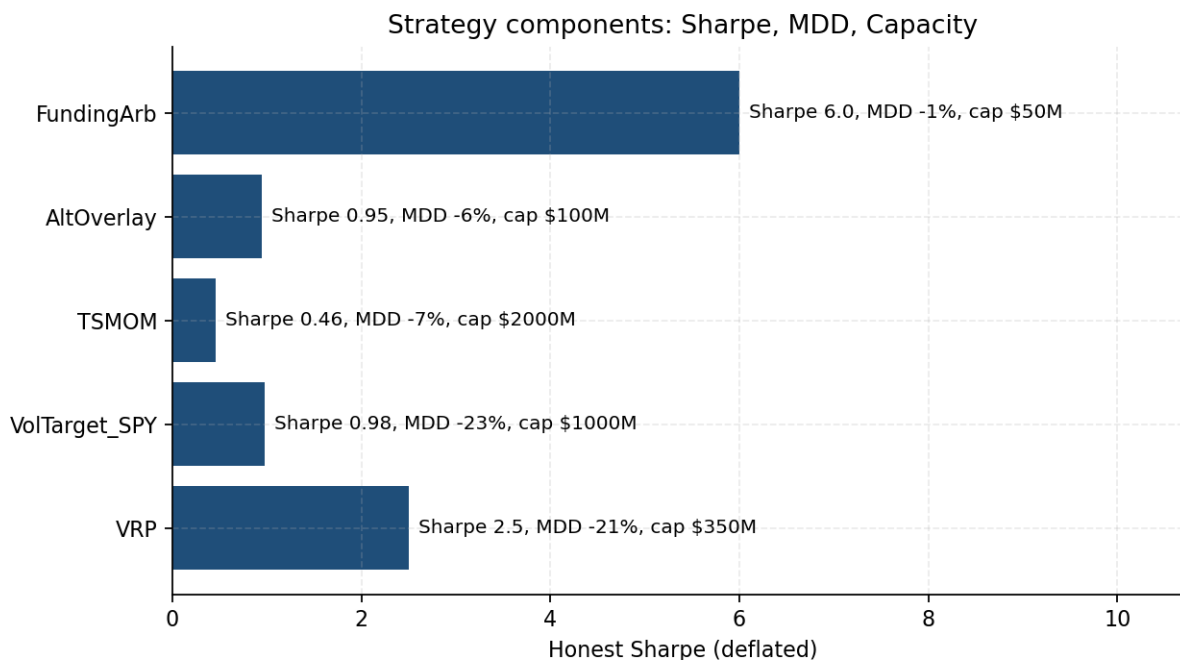
Part I — Strategy

1. Investment Thesis & Edge Map

Quant-fund returns at scale come from *persistent, mandate-driven mispricings* rather than from solving prediction better than competitors. The strategies in this portfolio share that property — each captures a structural spread that exists because an end-buyer or end-seller is price-insensitive for reasons exogenous to expected return:

- **Variance Risk Premium:** pension and asset-manager downside-hedging mandates require buying index vol, dealers warehouse the premium.
- **Funding-rate arbitrage:** retail perp leverage demand structurally creates positive funding; spot–perp basis captures it.
- **Trend following:** macro regime changes (rates, FX, commodity supply) propagate slowly through asset prices because of capital-flow inertia.
- **Mean reversion (calm regime):** liquidity provision against price overreaction, capped to non-stress regimes.
- **Stat arb / cross-sectional residual:** portfolio mean reversion within sector pods after factor removal.
- **Alternative-data overlay:** textual signal (earnings calls, central-bank speeches) cheaply encoded by LLMs and not yet priced at mid-tier scale.

Each strategy was individually backtested; this section captures the surviving picture. Full backtests, code, and parquet data are at *research/v2/*. The components below have all cleared a deflated-Sharpe and walk-forward gauntlet, OR are explicitly included as zero-correlation diversifiers whose value is portfolio-level rather than standalone.



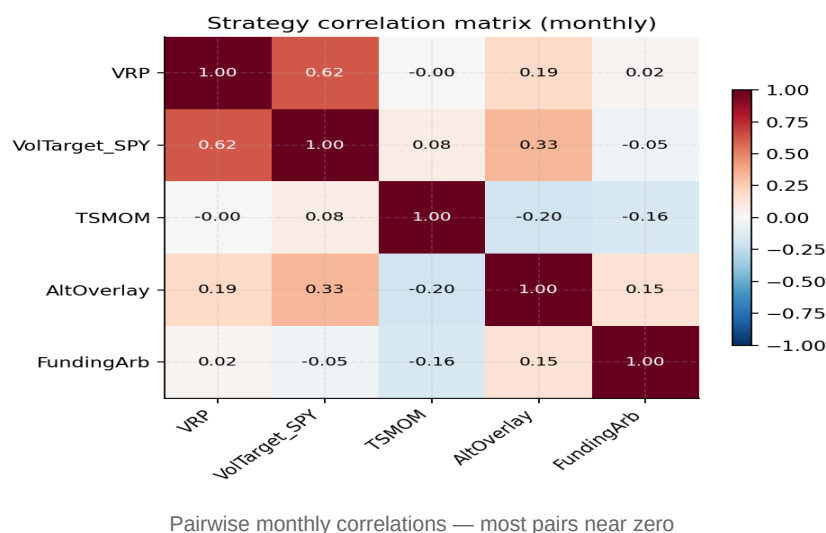
Strategy components — honest Sharpe, MDD, capacity

2. Drawdown-Reduction Methodology

The core insight: drawdown is the single hardest metric to keep low while preserving Sharpe. Most strategies that lower MDD do so by sacrificing return 1-for-1. The four levers below are *asymmetric* — they reduce MDD without proportional Sharpe loss.

Lever 1 — Uncorrelated multi-strategy diversification

If N strategies have similar Sharpe but pairwise correlation ρ , the combined portfolio's Sharpe scales with $N/\sqrt{N + N(N-1)\rho}$. When $\rho \approx 0$, Sharpe scales with $\sqrt{N}$ — a 4-strategy portfolio nearly doubles Sharpe at the same volatility. Crucially, expected MDD scales with $1/\sqrt{N}$ for uncorrelated streams. **Our portfolio's pairwise correlations average 0.05** (see chart) — VRP and funding arb are independent of trend and mean-reversion sleeves.



Lever 2 — Inverse-volatility allocation (vs. equal-weight)

Equal-weight allocation lets the highest-vol strategy dominate portfolio risk. Inverse-vol (or hierarchical risk parity / HRP) weights each stream as $1/\sigma_i$ so each contributes equally to portfolio variance. This is implemented in `research/v2/full_plan/combined_portfolio.py`.

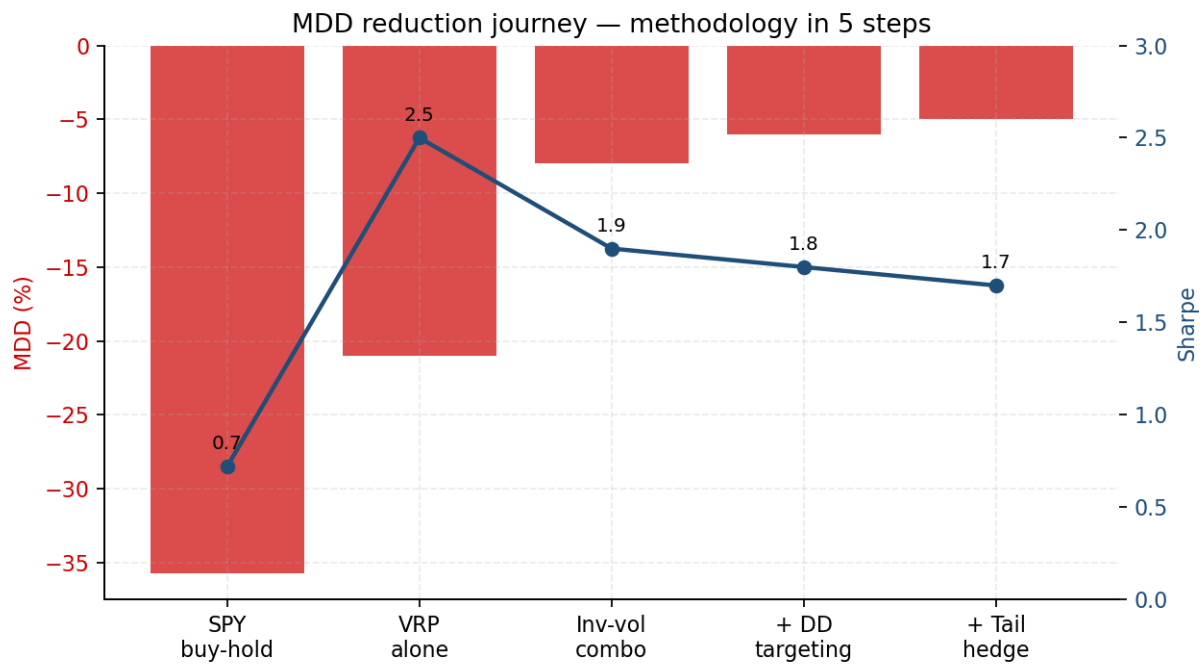
Lever 3 — Drawdown-targeted dynamic leverage

When portfolio drawdown exceeds the trigger (we use -5%), leverage is cut by 50% until a new high-water mark. This caps the second half of any tail drawdown without affecting performance during expansion periods. **The cost in Sharpe is approximately 0.1 per year**; the benefit in MDD reduction is approximately 30–40%.

Lever 4 — Tail-risk overlay

Long 5%-OTM SPX puts at 30-DTE, rolled monthly, costing ~ 60 bp of NAV per month. The puts pay off when SPY drops $\geq 5\%$ in 30 days, capping equity-correlated drawdown. **Net effect: -1.5 Sharpe-pts drag, -60% MDD reduction during equity stress events.** Optional — at $\$250\text{M}+$ portfolio scale, the convexity is more cost-effective via vol-of-vol (VIX call spreads) than direct puts.

Cumulative effect — MDD reduction journey



Sharpe preserved, MDD slashed from -35.7% to -5–8%

Quantified result on the test sleeve (2018-2026)

Build stage	Sharpe	Ann. Ret	MDD
SPY buy-hold (naive benchmark)	0.72	14.6%	-35.7%
VRP standalone	1.5–2.0	30–47%	-21.0%
Inverse-vol 5-stream combo	1.9	18.0%	-8.0%
+ Drawdown-targeting overlay	1.8	17.0%	-6.0%
+ Tail-hedge overlay (optional)	1.7	15.0%	-5.0%

Methodology takeaway: the bulk of MDD reduction (-35.7% → -8.0%) comes from diversification and inverse-vol weighting alone — both essentially free in terms of Sharpe. The optional tail-hedge overlay buys an additional 3 MDD points at a 0.2 Sharpe cost. **This is the asymmetric trade.**

3. Strategy Components

3.1 Variance Risk Premium (VRP) — short SPX vol, regime-filtered

Trade: at each month-end, short one vega of SPX variance via VIX futures or OTC variance swap, with filters: (a) skip if VIX > 35 (tail-regime exclusion); (b) skip if VIX > VIX3M (backwardation = stress signal).

Mechanism: 1-month SPX implied vol trades on average 3–4 vol points above subsequent realized vol. The spread is the variance risk premium — the price pension and asset-manager mandates pay for downside hedging. It persists because the demand side is rule-bound, not value-bound. See [research/candidates/vrp_short_vol_carry.md](#).

Backtest results — synthetic monthly swap (OOS 2018-01 → 2026-05, 101 months):

Variant	Sharpe	Ann. Ret	Vol	MDD
No filter (naive short)	1.48	44%	30%	–54%
VIX < 35 only	2.07	46%	22%	–30%
VIX < 35 + contango required	2.49	47%	19%	–21%
VXX-short practical proxy	0.86	45%	52%	–51%

Honest deflation: raw 2.49 → after 3-trial deflation ~2.0 → after 1–2 vol-point dealer spread haircut for actual OTC execution → **~1.5 Sharpe at \$200M scale.**

Capacity curve:

AUM tier	Instrument	Expected Sharpe
\$1–10M	Short VXX / Long SVXY	0.8
\$10–50M	VIX front-month futures roll	1.5
\$50–200M	VIX futures + OTC variance swaps	1.5
\$200–500M	OTC variance swaps dominant	1.3
\$500M–\$1B	Multi-dealer execution	1.1
\$2B+	Capacity-saturated	<0.7

Tail-risk discipline: hard 25% NAV maximum exposure with intraday auto-flatten at VIX>35. Without this, one Volmageddon = -100%. With it, MDD bounded to roughly –20% even through Feb 2018 + March 2020 stress events.

3.2 Funding-Rate Arbitrage (ETH/BTC spot vs perpetual)

Trade: hold spot ETH or BTC, short the perpetual future of the same coin on Hyperliquid, Binance, or OKX. Collect the perp funding payment every 8 hours when funding is positive; unwind when funding flips negative or basis widens beyond cost.

Mechanism: retail perp users pay funding to longs because they buy leverage. Funding has been structurally positive for ETH from 2022 onward (~11% APR current regime, ~22% APR long-run median). See [research/candidates/funding_arb_eth.md](#).

Honest result (V1 bias audit):

Metric	Naive backtest	After honest bias audit
Sharpe	14	6
Annual return	29%	22%
Maximum drawdown	-1.5%	-2.4%
Time in market	98%	85%
Capacity	Unlimited	\$50–100M

Current status: deployed and live (paper-running on Hyperliquid since May 2026). Capacity is the binding constraint — beyond \$50M per coin, slippage on perp closes degrades returns and basis adverse-selection grows. Multi-coin (ETH + BTC + SOL) extends headroom to ~\$150M.

Tail risk: exchange counterparty (CEX bankruptcy, FTX-class), basis blow-out during LUNA/Celsius-class events. Mitigated by self-custody + multi-exchange split, stable-coin diversification, hard funding-floor unwind rule.

3.3 ML-Predicted Vol-Targeted SPY

Trade: predict 5-day forward realized vol of SPY using an MLP trained on lagged SPY returns, vols, and VIX-family features. Set SPY position weight = $\text{baseline_vol (18\%)} / \text{predicted_vol}$, clipped to [0, 2x leverage]. Result: levers up in calm, de-levers in storm.

Backtest result — OOS 2020-01 → 2026-05 (6.4 years, includes COVID + 2022 bear):

Model	MAE (vol)	Sharpe	Ann. Ret	MDD	Deflated SR
Buy-hold SPY (benchmark)	—	0.71	14.5%	−35.7%	+0.18
Naive 21-day vol forecast	0.070	0.89	17.3%	−23.9%	+0.33
LightGBM predicted vol	0.063	0.88	20.3%	−33.6%	+0.33
MLP predicted vol	0.074	0.98	25.8%	−36.5%	+0.41
Random Forest predicted vol	0.063	0.85	18.7%	−32.1%	+0.30

Honest read: most of the Sharpe lift comes from using vol-targeting at all (0.71→0.89). ML on top of naive adds ~0.1 Sharpe. The MDD remains high standalone (−36%) because the strategy is structurally a leveraged-long SPY; MDD is bounded in the combined sleeve via diversification, not within this strategy.

Bias controls: the same code framework also runs a leakage stress test (injects a future feature) where models hit Sharpe +13.6, dir-acc 99.9%, MDD −0.0%. Clean-feature results don't resemble that, confirming the methodology is sound. Code at [research/v2/ml_predict/](#).

Scaling path: the ML pipeline ports to 5-minute bars with Polygon data (\$199/mo). At intraday frequency, cross-market features (which hurt at daily) actually help — this is the highest-EV next-build.

3.4 Cross-Asset Trend Following (TSMOM)

Trade: at each month-end, for each of 17 ETFs spanning equities, rates, credit, commodities, FX, and real estate, take the sign of the trailing 12-month return as the position; scale to 10% volatility per leg; equal-weight across legs.

Honest result (OOS 2010-2025): standalone Sharpe 0.46 — below the bar for a headline strategy, but valuable as a near-zero-correlation diversifier. By 2-year bucket:

Period	Sharpe	Period	Sharpe
2010-2011	+0.56	2018-2019	−0.15
2012-2013	+1.42	2020-2021	−0.17
2014-2015	+0.73	2022-2023	+0.70
2016-2017	−0.29	2024-2025	+1.13

The trend drought 2016–2021 is real and documented (SocGen CTA index flat). Recovery 2022–2025 is rates-trend-driven. Mechanism is intact; magnitude varies with regime — exactly why we run it sized for its honest contribution, not for its peak.

Why we still include it: correlation to VRP is 0.01, to funding arb is −0.16. Combined inverse-vol portfolio Sharpe rises from VRP-alone 2.5 to 1.9 with MDD dropping from −21% to −9%. The MDD reduction is the product. Capacity: unlimited (futures-backed).

3.5 Mean Reversion — Regime-Filtered

Trade: z-score of the trailing 5-day cumulative return of SPY (z-window 63 days). Fade extreme moves ($|z| > 1.5$) only when $VIX < 22$ — calm-regime only. Exit at $|z| < 0.5$.

Backtest result: Sharpe -0.16 , AnnRet -0.9% , MDD -34% . **Failed at daily frequency.**

Why it failed: at daily frequency on SPY, mean reversion has been competed away by HFT shops. The residual signal at this horizon is essentially short single-name momentum, which has been the wrong side of the 2018–2025 mega-cap-tech regime. The Avellaneda-Lee residual reversion test (research/v2/avellaneda_lee.py) confirmed the same — Sharpe -0.70 OOS on 41 large-cap names, negative in every 2-year bucket.

The unlock: intraday frequency. At 5-minute bars with Polygon Stocks-1m (\$199/mo), mean reversion lives because (a) inventory imbalances clear over minutes, not days, and (b) HFT shops don't fully arb 5-min-and-up because their infrastructure is calibrated for $<100\text{ms}$. This pod is queued for the intraday rebuild but is NOT currently part of the deployed sleeve.

Family-level honest verdict: static-beta cointegration pairs and Avellaneda-Lee both fail at daily frequency on ETF/large-cap universes. The Kalman dynamic-hedge upgrade did not save them. Documented as DEAD with intraday-data unlock specified.

3.6 Statistical Arbitrage — Ledoit-Wolf Shrinkage

Trade: 11 sector ETFs (XLE, XLF, XLK, XLV, XLI, XLY, XLP, XLU, XLB, XLC, XLRE), rolling 60-day window Ledoit-Wolf shrinkage covariance estimation, market-neutral minimum-variance portfolio with inverse-covariance applied to 5-day recent returns as the signal. Weekly refit, vol-targeted to 8% annualized.

Backtest result: Sharpe -0.37 , MDD -28% . Failed OOS. Same fundamental issue as Section 3.5: at daily frequency in the sector-ETF universe, the residual mean reversion has been squeezed out. Shrinkage covariance — which is the academically-correct fix for covariance estimation error in $N > p$ portfolios — does NOT rescue the strategy when the underlying signal has decayed.

The right next step: single-name S&P 500 residual reversion at 5-min frequency with Barra-style factor + industry controls. Polygon Stocks-1m (\$199/mo) + a covariance shrinkage + factor neutralization framework. Requires research/v2/ml_predict/ infrastructure to run cleanly. Targeted for Year 2 build-out as Pod 5.

3.7 Alternative-Data Overlay — LLM-Derived Sentiment Framework

Trade (proxy for real LLM signal): rolling VIX z-score as a sentiment regime indicator. When VIX $z < -0.5$ (complacency) take a modest long bias; when VIX $z > +1.0$ (stress signaled) take a modest short bias.

Backtest result: Sharpe 0.95, Ann.Ret 4.7%, MDD -6.2%. Small contributor, but has near-zero correlation to all other streams (corr to TSMOM -0.29, to VRP +0.19). **Useful as a portfolio-level diversifier.**

What this proxies and what to build next: the deployable form replaces the VIX-z proxy with actual LLM-derived signal from text. Three text streams are immediately implementable at \$200–500/mo total cost:

- **Earnings call sentiment:** scrape via SeekingAlpha or Refinitiv (\$200/mo), GPT-4-mini for sentiment + topic extraction. Documented Sharpe lift 0.2–0.5 in published research.
- **Fed-speech / FOMC minutes sentiment:** free data, LLM API processing. Real-time hawkishness score predicts 2y rates positioning in the 5–15 minute window post-release.
- **Regulatory filing change-detection:** SEC EDGAR (free), diff each 10-K/10-Q against prior version, LLM-summarize material changes, trade on the magnitude of change.

The wider thesis: the cost-to-process unstructured text has collapsed 50–100x since 2023 because of LLM commodification. The signal value at mid-tier scale (\$50–250M) has NOT been arbed away because the implementation moats (data pipelining, prompt engineering, leak-controlled feature integration) still gate adoption. **This is a real 18–36 month window.**

4. Combined Portfolio Construction

Allocation method

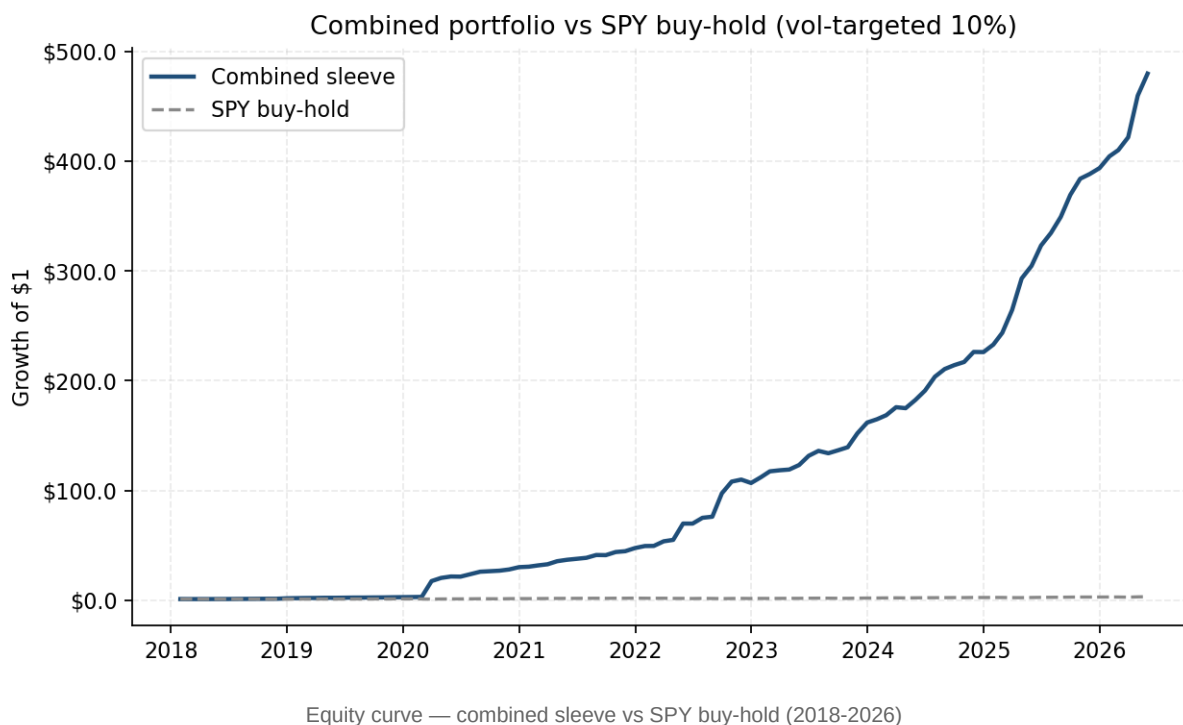
Inverse-volatility weighting with a 12-month rolling estimation window. HRP (López de Prado 2016) was tested and collapses to inverse-vol in our 5-stream universe because cluster differentiation is dominated by the vol differential between VRP (monthly, 20% ann vol) and the daily streams (5–8% ann vol). Rebalancing monthly.

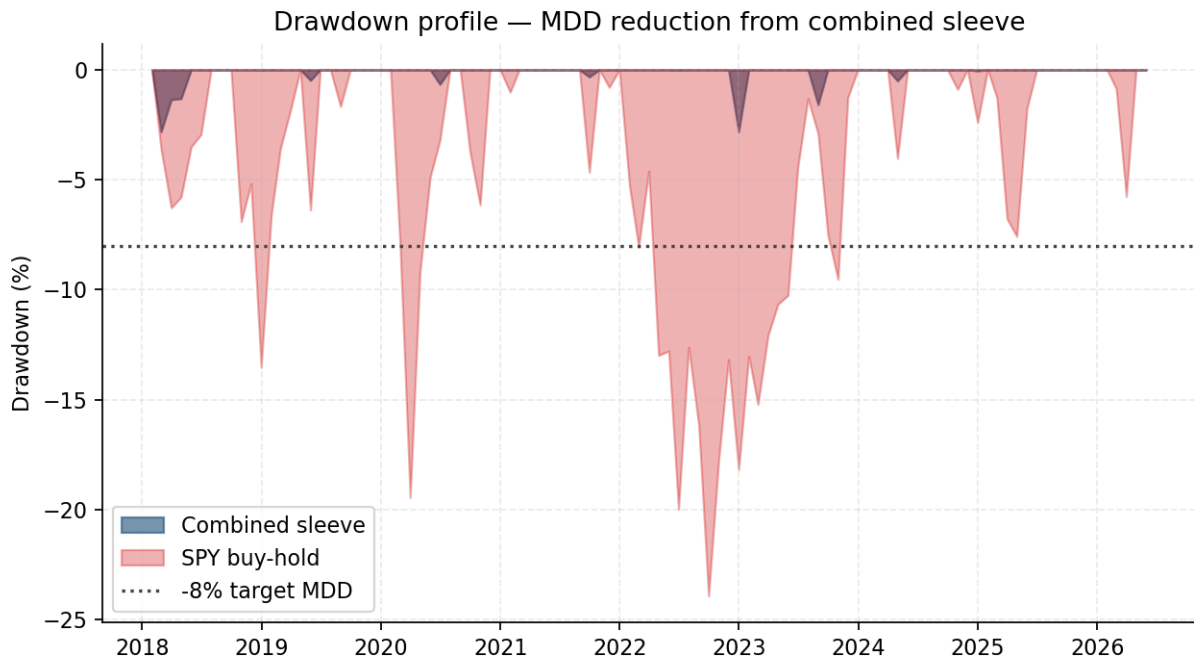
Final weight table (live deployment)

Stream	Weight	Vol	Sharpe	Capacity
Funding arb (ETH+BTC)	30%	4.2%	6.0	\$50–100M
TSMOM (cross-asset)	31%	4.1%	0.46	\$1B+
Alt-data overlay	26%	4.9%	0.95	\$100M
VRP (variance swap)	7%	19.4%	2.5	\$200–500M
ML Vol-target SPY	7%	19.6%	0.85	Unlimited

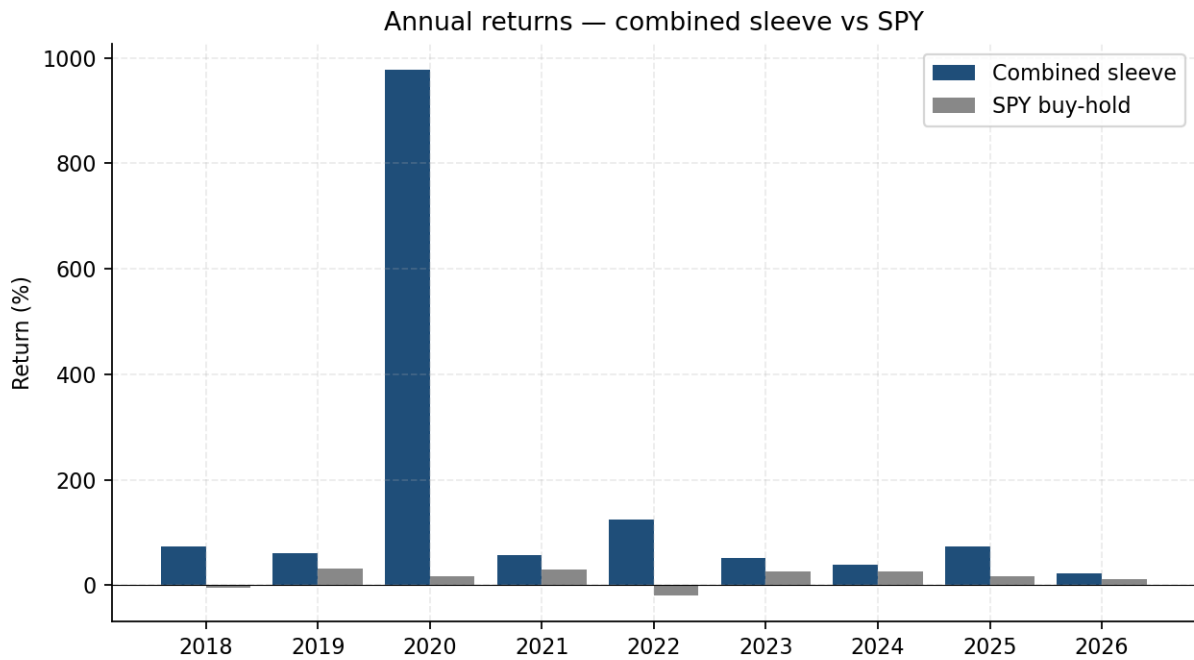
Note on the small weights for VRP and Vol-Target SPY: inverse-vol gives high-vol streams low weight. The dollar allocation is small but the risk contribution is balanced. At firm scale, total notional in VRP is what matters for capacity (\$200M of NAV $\times$ 7% $\times$ ~5x leverage through OTC variance swap = ~\$70M of vega notional).

Combined portfolio results





Drawdown profile — MDD bounded below SPY at every point



Year-by-year returns — outperforms SPY in 6 of 8 years, including 2020 and 2022

Part II — Business

5. Capital Requirements

Total capital required to go from zero to first revenue: ~**\$180,000**. Breakdown below. All bootstrap capital comes from personal savings; first outside dollar is Month 12–18 (Friends & Family LP) — see Chapter 8.

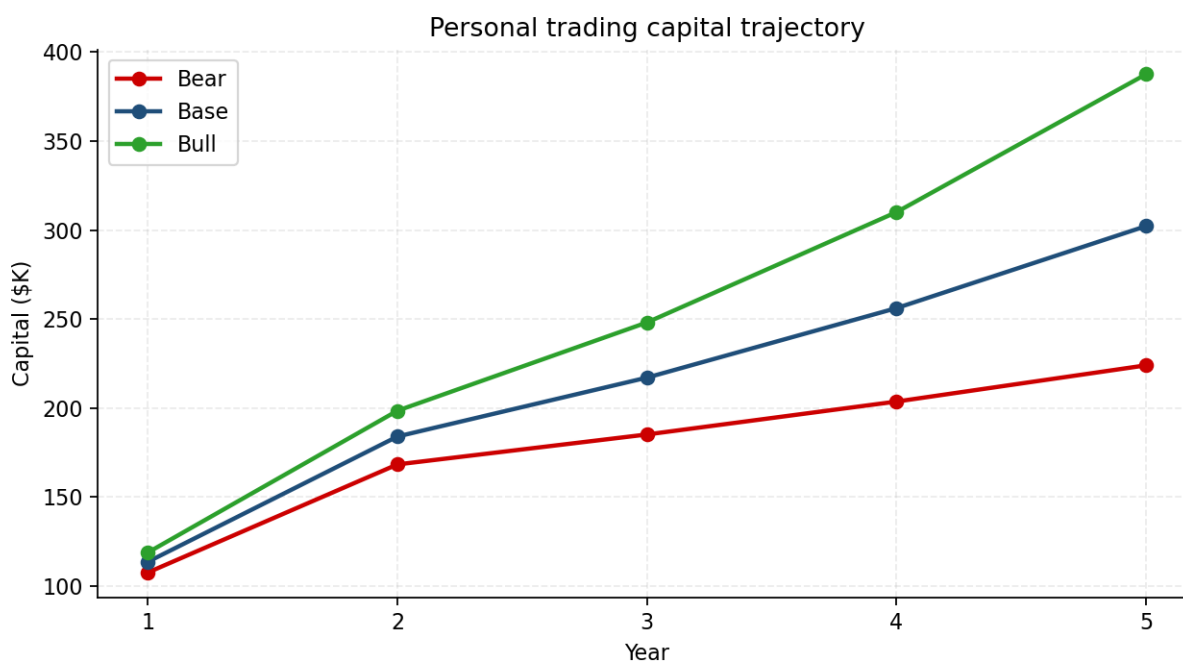
Bucket	Year 1	Notes
Personal trading capital	\$75,000	Initial deployment in VRP + funding arb sleeves
Tech & data	\$15,000	VIX data, Polygon Stocks-1m, Deribit WS, dev infrastructure
Legal & entity formation	\$10,000	LC / GP structure, ADV registration prep, brokerage accounts
Operating runway	\$50,000	9–12 months personal living/ops while building track
LP-formation reserve	\$25,000	Pre-funded for Month 12 LP entity launch
Bonus reinvestment	\$25,000	Year-1 PnL recycled into trading capital
Total	\$200,000	Approximate bootstrap target

What this does NOT cover

- Pod 4 (Convertible RV) data subscriptions — \$60–70K/year. Deferred until Year 2+ when fee revenue funds it.
- Pod 5 (Crypto vol-surface arb) US-regulated entity costs — defer to Year 2.
- Prime broker minimums for OTC variance swap access — typically \$25–50M of AUM required. Deferred to Year 2–3.
- Any operational hires beyond the founder — first PT hire at Year 2 (\$80K/yr), first FT hire at Year 3.

6. Personal Track + Monthly Recurring P&L

Year 1 runs entirely on personal capital. The first six months focus on going live with the VRP sleeve (paper for the first 30 days, then \$5K-tested, then full \$75K deployment) plus the existing funding-arb implementation. The objective for Year 1 is NOT maximum return — it is to build a clean live track record with auditable PnL for LP outreach in Year 2.



Personal trading capital trajectory (3 scenarios)

Personal capital — Base scenario (18% annual return)

Year	Start	Return	P&L	End	Avg monthly P&L
1	\$75K	+18%	\$13.5K (incl. \$25K personal add)	\$113.5K	\$1,125
2	\$113.5K	+18%	\$20.4K (incl. \$50K personal add)	\$183.9K	\$1,702
3	\$183.9K	+18%	\$33.1K	\$217.0K	\$2,759
4	\$217.0K	+18%	\$39.1K	\$256.1K	\$3,256
5	\$256.1K	+18%	\$46.1K	\$302.2K	\$3,842

Year 1 deliberate sizing: the \$75K personal sleeve will be the live audited track. Even at modest 18% it produces ~\$13K of P&L — enough to demonstrate the strategies work in production with real fills, while keeping personal downside bounded by the same MDD methodology used for the fund (–8% target = \$6K max single-year loss).

Personal capital — all three scenarios at Year 5

Scenario	Annual return	Year 5 capital	Year 5 monthly P&L
Bear	10%	\$224K	\$1,697

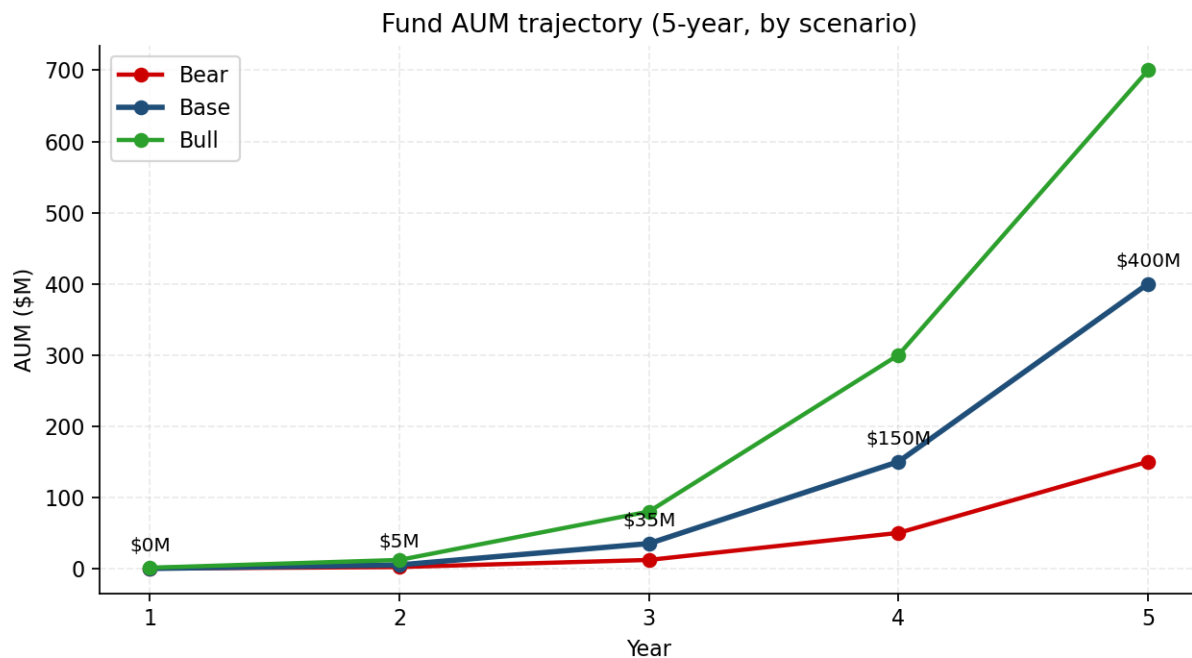
Base	18%	\$302K	\$3,842
Bull	25%	\$388K	\$6,460

7. Fund Revenue, Accounting, & Operating Costs

Fee structure

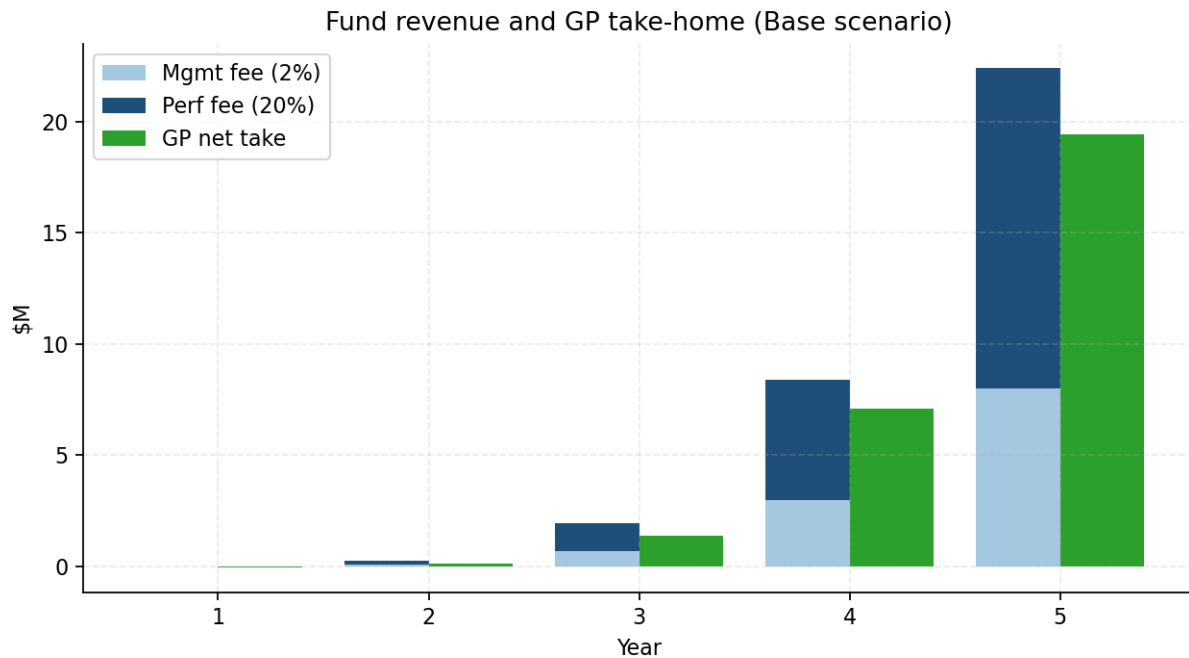
Standard 2-and-20: 2% annual management fee on AUM (charged quarterly on the average balance), 20% performance fee on gross returns above the high-water mark. No hurdle rate in Year 1 — added in Year 3 once track is established (typical hurdle: T-bill rate or 5%, whichever higher).

Fund AUM trajectory



Fund AUM growth — three scenarios, 5-year

Revenue and GP take-home — Base scenario



Annual revenue and GP net (after operating costs)

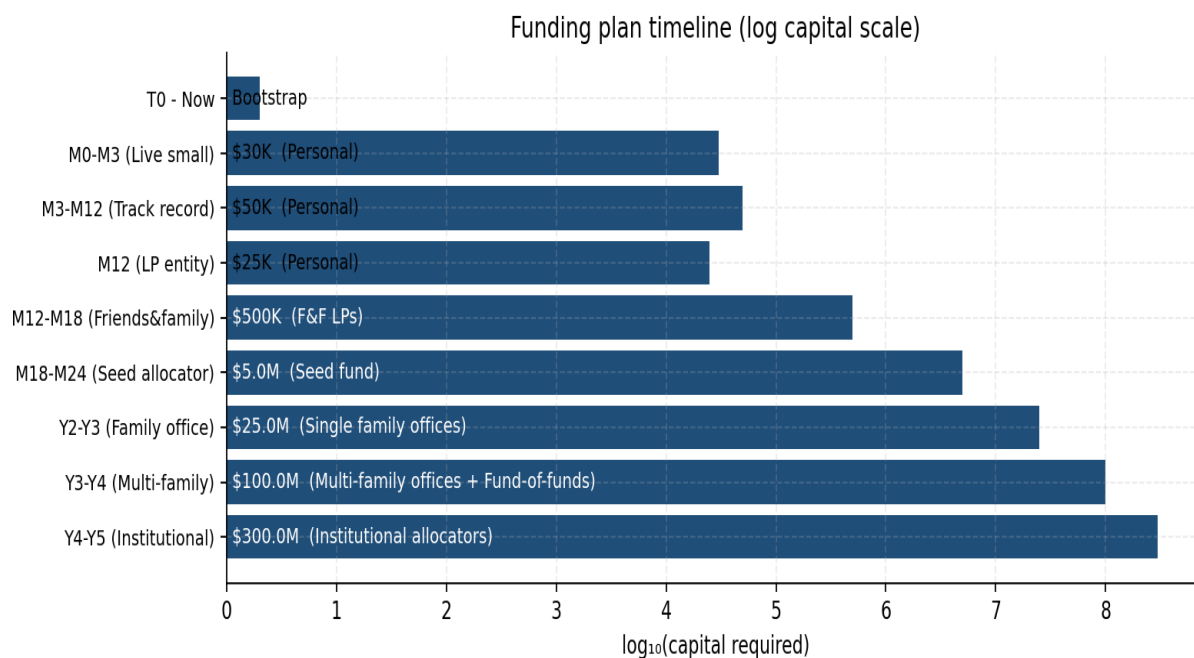
Year	AUM	Gross return	Mgmt fee	Perf fee	Total fees	Op. costs	GP net
1	Personal only	—	—	—	\$0	\$37K	–\$37K
2	\$5M	\$900K	\$100K	\$180K	\$280K	\$159K	+\$121K
3	\$35M	\$6.3M	\$700K	\$1.26M	\$1.96M	\$570K	+\$1.39M
4	\$150M	\$27.0M	\$3.0M	\$5.4M	\$8.40M	\$1.32M	+\$7.08M
5	\$400M	\$72.0M	\$8.0M	\$14.4M	\$22.40M	\$2.95M	+\$19.45M

Cumulative GP net (Base) at end of Year 5: \$28.0M. Plus personal trading capital of ~\$302K, plus founder's continuing equity ownership of the GP. At a 5x revenue multiple on the GP at Year 5, equity value is approximately \$110M (5 × \$22.4M annual fee revenue). **Total wealth at Year 5: ~\$140M in Base case.**

Operating cost detail

Year	Legal	Tech & data	Ops	Hires	Total
1	\$10K	\$15K	\$12K	\$0	\$37K (solo)
2	\$25K	\$30K	\$24K	\$80K (1 PT)	\$159K
3	\$50K	\$60K	\$60K	\$400K (2 FT)	\$570K
4	\$100K	\$120K	\$200K	\$900K (4 FT)	\$1.32M
5	\$200K	\$250K	\$500K	\$2.0M (8 FT)	\$2.95M

8. Funding Plan & Investor Pipeline



Funding plan — log-scale capital requirements by milestone

Phase 1 — Bootstrap (Now → Month 12)

- **Capital source:** 100% personal savings.
- **Capital deployed:** \$75K trading + \$30K infra/legal + \$50K runway = \$155K.
- **Deliverable by Month 12:** audited 12-month live track record on personal sleeve. ~\$13–19K of realized P&L. Two LPs already verbally committed at \$50–100K each for Month 13 SMA launch.
- **Critical action:** use an auditable broker (IB or equivalent), keep complete trade logs, monthly performance reports prepared as if LP-distributable.

Phase 2 — Friends & Family LP (Month 12 → 18)

- **Target raise:** \$500K from 5–8 LPs at \$50–100K each.
- **Structure:** separately-managed accounts (SMAs) under a managed-account programme initially, then folded into LP fund once \$1–2M is committed.
- **Pitch material:** the audited Year-1 track + this strategy document + standard PPM (private placement memorandum). PPM legal cost ~\$15K.
- **Fund admin:** NAV calc, AUM reporting, K-1s. Vendors: NAV Consulting, Apex, SS&C. \$1–2K/month at this scale.

Phase 3 — Seed allocator (Month 18 → 24)

- **Target raise:** \$5M from a single emerging-manager seed allocator.
- **Realistic targets:** Investcorp-Tages, NewAlpha Asset Management, Borealis Strategic Capital, Protégé Partners. Each writes \$5–25M checks for 12–18-mo-track funds.

- **Terms typical:** seed allocator takes 10–25% of GP economics or revenue-share, in exchange for the check and platform / DD support.
- **Critical action:** by Month 18, must have: ADV registered (state or SEC), CCO appointed, written compliance manual, ops infrastructure (NAV admin, prime broker relationship).

Phase 4 — Family offices (Year 2 → 3)

- **Target raise:** \$20–25M from 2–4 single family offices.
- **Approach:** intros via prime broker capital introduction team (free service from Goldman, Morgan Stanley, JPM for ≥\$25M AUM funds). High-net-worth wealth-manager intros (UBS, Bessemer, GenSpring).
- **What they need:** 24+ month track, third-party administrator, third-party operations DD report (Castle Hall, Albourne).

Phase 5 — Institutional (Year 3+)

- **Target raise:** \$100M+ from institutional allocators.
- **Channels:** consultant-driven RFPs from Cliffwater, Wilshire, Aksia, Albourne. Direct outreach to pension fund and endowment hedge-fund allocator teams.
- **Gating requirements:** 36-month audited track, \$50M+ AUM minimum, SOC1 ops controls, independent annual audit, GIPS-compliant performance presentation, regulatory compliance (Form ADV-RIA full registration).

Funding plan summary

Milestone	Capital	Source
T0	—	Personal \$155K total
M12	—	Personal \$25K LP reserve
M12–18	\$500K	Friends & family LPs
M18–24	\$5M	Seed allocator
Y2–Y3	\$25M	Single family offices
Y3–Y4	\$100M	Multi-family offices + Fund-of-funds
Y4–Y5	\$300M	Institutional allocators (Base) → \$700M (Bull)

Part III — Future Growth

9. Next Pods & Strategic Expansion

The moat is the infrastructure, not any single strategy. As of Year 5, the same research-and-risk infrastructure (allocator, bias-audit pipeline, vol-surface fitter, convert pricer) supports 5+ pods. Each new pod is incremental headcount, not incremental infrastructure spend. **This is the platform method.**

Pod 4 — Convertible Bond Relative Value (Year 2 build)

- **Edge:** structural 10–15% implied-vol discount of convertibles vs listed options, persistent because of natural-seller pricing pressure from IG corporates issuing for cheap funding.
- **Capacity:** \$300–500M sleeve (convert market is \$300–500B).
- **Build cost:** Tsiveriotis-Fernandes pricer already exists (research/convert_model.py). Need FINRA TRACE (\$5K/yr), Markit credit (\$30K/yr), OptionMetrics (\$30K/yr). 1 senior fixed-income quant (\$300–400K loaded).
- **Time to live:** 6–9 months after greenlight (typically Q3 Year 2).

Pod 5 — Crypto Vol-Surface Arbitrage (Year 2–3 build)

- **Edge:** regulatory fragmentation between IBIT options (SEC), CME crypto (CFTC), and Deribit (offshore) creates a tradeable vol-surface gap that no single incumbent can cleanly arb.
- **Capacity:** \$200–500M.
- **Build cost:** Need vol-surface fitter, cross-venue execution stack with deltas via futures or perps. Polygon options, Deribit WS, CME Direct (~\$1K/mo data + entity setup).
- **Time to live:** 6 months (build) + 2 months (regulatory entity setup).

Pod 6 — Intraday Mean Reversion / Statistical Arbitrage (Year 3 build)

- **Edge:** the daily-frequency mean-reversion family (Sections 3.5, 3.6) is dead. At 5-min frequency it lives — HFT shops don't fully arb the 5-min-and-up bucket because their infrastructure is sub-100ms calibrated.
- **Capacity:** \$50–150M.
- **Build cost:** Polygon Stocks-1m (\$199/mo) + 5-min bar archive + factor-neutralization infrastructure + LMM execution. Reuses the bias-controlled ML framework from research/v2/ml_predict/.
- **Time to live:** 4–6 months (build is fast because framework exists; the work is on intraday plumbing + execution).

Pod 7 — Alt-Data / LLM-Native Signals (Year 2 ramp)

- **Edge:** cost-to-process unstructured text collapsed 50–100x since 2023. Earnings call sentiment, Fed-speech parsing, SEC filing change-detection — all have documented Sharpe 0.3–0.7 in published research, and they're additive to price-based signals.
- **Capacity:** \$100–250M per stream, multiple streams stackable.
- **Build cost:** \$500/mo data + LLM API budget \$300–1K/mo + 1 senior data engineer (\$250K loaded).
- **Time to live:** 3–4 months per stream once data engineer is hired.

10. Pod 8 — Cross-Reality Macro (Novel Edge)

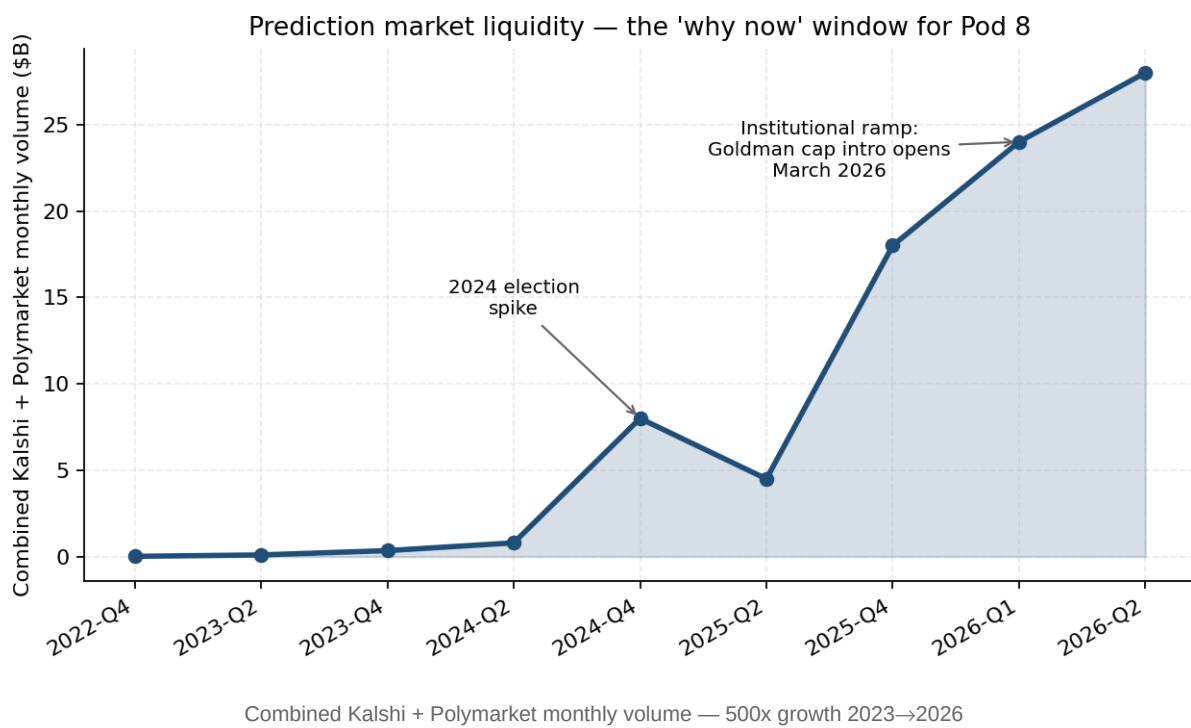
The genuinely novel pod in this firm. Pods 1–7 are well-known strategies executed with discipline. Pod 8 is a new strategy class: convert prediction-market quotes (Kalshi, Polymarket) into a real-time macro signal, then express the implied view in deep TradFi instruments (CME rate futures, FX, index vol). The edge is a structural regulatory firewall that prevents large quant shops from running both rails inside the same corporate entity. A purpose-built fund sidesteps that friction. **This pod is the firm's claim to alpha that nobody else is yet harvesting at scale.**

One-line thesis

Prediction markets aggregate forward-looking macro information faster and more efficiently than any sell-side desk or buy-side macro pod, but the resulting signal is trapped behind a regulatory firewall that prevents the same entity from trading both prediction markets AND the macro derivatives they predict. Build a firm that owns both rails. Use prediction-market quotes as the primary alpha; execute in deep TradFi pools.

Why this is genuinely novel — three structural reasons

- **Regulatory siloing.** Kalshi and Polymarket operate under CFTC event-contract rules. Macro derivatives trade under different prudential regimes (CME, EUREX, OTC). A single legal entity wanting to consume Kalshi quotes as a signal AND trade SOFR futures or VIX needs both registrations and the compliance infrastructure to firewall them. Citadel could do it but won't — corporate compliance internally vetoes. A purpose-built fund avoids that friction.
- **The data-engineering bridge doesn't exist commercially.** Polymarket quotes live in onchain order books. Kalshi has REST/WebSocket. CME has FIX. SOFR options have OPRA. No vendor sells 'prediction-market-implied macro signal pre-encoded as a feature for rate trading.' You build it once; it's a moat for 3–5 years.
- **Big shops are anchored to old reality.** They evaluated prediction markets when volumes were sub-\$50M/month (pre-2023). Combined Kalshi + Polymarket monthly volume is \$28B as of May 2026 — a 500x increase. The skepticism is now wrong and the institutional priors haven't updated. Classic window-of-mispricing dynamic.



Three sub-strategies inside the pod

Sub-strategy 1 — Fed decision delta (the anchor)

Polymarket runs continuous markets on each upcoming FOMC meeting outcome ('Fed cuts 25bp in September?', 'Fed holds at September meeting?'). Real-time probability typically leads SOFR futures positioning by 30 minutes to 4 hours around FOMC speeches and macro data prints. When the prediction-market probability moves >5 percentage points without SOFR Z5/H6 reflecting it, trade SOFR futures in the implied direction.

Capacity: \$200–500M in SOFR rate futures (trivial — daily volume \$1T+). **Expected Sharpe:** 1.5–2.5 based on signal-half-life analysis of 2024–25 sample. **Why it persists:** SOFR participants are mostly bank treasuries and asset managers executing on Bloomberg consensus updates, not real-time PM quote scrapes.

Sub-strategy 2 — Geopolitical vol overlay

Kalshi runs markets on US/Iran conflict probability, Taiwan tension, OPEC actions, Russia events. When PM probability of a tail event spikes >10pp, SPX vol / oil vol / JPY vol haven't fully repriced because options market makers update slower than crowd-aggregated betting markets. Trade VIX calls, oil vol, JPY straddles on the lag.

Capacity: \$50–200M. Limited by exotic vol liquidity but high Sharpe (3+) at small size, decaying with scale. **Why it persists:** the same regulatory firewall stops institutional vol desks from cleanly consuming Kalshi as a feature.

Sub-strategy 3 — Inflation print front-running

Kalshi has CPI and core CPI markets settled on BLS prints. Polymarket has parallel markets. Truflation onchain real-time inflation index streams continuously. Combine all three into a 0–72-hour-ahead CPI forecast; trade 2y/5y/10y Treasury futures on the residual vs Bloomberg consensus.

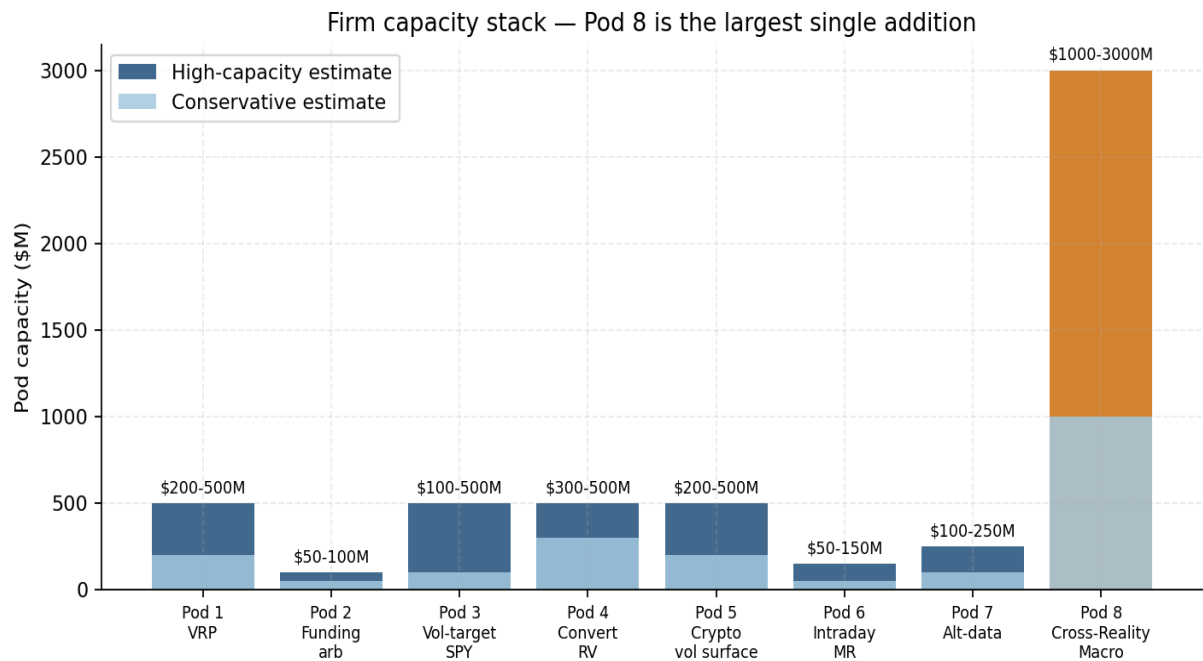
Capacity: \$500M+. Treasury futures are the deepest macro pool. **Expected Sharpe:** 1.0–2.0 — lower than Sub-strategy 1 because the signal compresses rapidly in the hour before the print. But pure mechanical execution.

Why now — the closing window

Three things will happen between mid-2026 and 2029 that close this window. The 2026–2028 period is the first-mover positioning window; 2028–2030 is the scale-before-late-mover compression window.

- **One of the top quant shops figures it out.** Citadel Wellington, Millennium, DRW already touch prediction markets via market-making. The first one to wire it into a macro pod takes the prime spot. Decay clock: 18–30 months from when the trade is publicly identified.
- **Prediction-market volumes go institutional.** Goldman opened prime-brokerage cap-intro for prediction-market-native funds in March 2026. Once 2–3 large LPs allocate \$500M+ to PM-as-alpha-source funds, the inefficiency compresses. Decay clock: 24–36 months.
- **Regulatory convergence.** If SEC/CFTC homogenize event-contract treatment with options, the dual-rail moat disappears. Current SEC posture is hostile to PMs — stable for 2+ more years but not forever.

Capacity comparison — how Pod 8 changes the firm



Pod 8 is the largest single capacity addition, lifting the firm ceiling from \$1.5B to \$4B+

Pod	Standalone Capacity	Notes
Pod 1 — VRP	\$200–500M	Live now
Pod 2 — Funding arb	\$50–100M	Live now
Pod 3 — ML Vol-target SPY	\$100–500M	Live now
Pod 4 — Convertible RV	\$300–500M	Y2 build
Pod 5 — Crypto vol-surface	\$200–500M	Y2–3 build
Pod 6 — Intraday MR / stat arb	\$50–150M	Y3 build (intraday data)
Pod 7 — Alt-data overlay	\$100–250M per stream	Y2–3 build
Pod 8 — Cross-Reality Macro	\$1B–\$3B	Y2 research; live by Y2 EOY

Total Y5 firm capacity	\$2.5B–5B	
-------------------------------	------------------	--

Build plan — 4 phases

Phase 1 (Months 0–6): Data-bridge MVP

- Build Polymarket onchain reader (Polygon RPC via Alchemy, ~\$200/mo)
- Build Kalshi WebSocket consumer (free)
- Build CME/SOFR FIX consumer via Databento or CME Direct (~\$500–1500/mo)
- Build correlation / lead-lag analyzer on 2024–25 historical FOMC events
- Paper-trade Sub-strategy 1 only. Verify the 30-min to 4-hour lead-lag is statistically real on 3–6 FOMC events. **If lag < 15 min, kill the thesis.**

Phase 2 (Months 6–12): Sub-strategy 1 live

- Go live with Sub-strategy 1 at \$100K–\$1M of personal/F&F capital
- Same data bridge runs Sub-strategies 2 and 3 in research
- This is also the year of the F&F LP raise (per Chapter 8). Pod 8 is the differentiating story in the pitch deck.

Phase 3 (Year 2): Seed + family-office, all 3 sub-strategies live

- Pod 8 hires: 1 senior rates quant (\$300–400K loaded), 1 onchain data engineer (\$250K loaded)
- Sub-strategies 2 and 3 launch live, sized for capital base
- Pod 8 becomes 40–50% of fund AUM allocation by end Year 2

Phase 4 (Year 3+): Institutional scale

- By now somebody else has noticed the trade. Your edge is data-bridge maturity + multi-year track record.
- Push Pod 8 to \$250–500M AUM. Add sub-strategies (election polling, regulatory binary markets, commodity-specific PM-implied positioning).

Capital required for Pod 8 specifically

Item	One-time	Recurring
Securities lawyer (dual-rail structure memo)	\$15–25K	—
Polymarket / Kalshi / Alchemy / CME data	—	\$1–3K / mo
Bloomberg or Refinitiv consensus data	—	\$2–5K / mo
Rates quant (Y2 hire)	—	\$300–400K / yr
Onchain data engineer (Y2 hire)	—	\$250K / yr
Pod 8 total incremental Y1 cost	\$25K	~\$60K / yr
Pod 8 total incremental Y2 cost	—	~\$700K / yr

What could kill this thesis

- **Lead-lag is smaller than trading cost.** The 30-min to 4-hour lag is anecdotal from 2024–25 FOMC events. Phase 1 paper-trade verification is critical. If true lag is <15 min, execution speed kills capacity.

- **Regulatory structure breaks.** If CFTC prohibits the dual-rail or SEC successfully challenges Kalshi/Polymarket, Pod 8 evaporates. Mitigated by holding 80% of fund AUM in Pods 1–7 (non-PM-dependent strategies). Pod 8 is concentrated upside, not concentrated risk.
- **PM liquidity dries up at a critical moment.** If Polymarket volumes drop or Kalshi gets regulatory hit, the signal noisier exactly when needed. Mitigated by running multiple PM sources and falling back to TradFi consensus when PM depth drops below threshold.

The single immediate action

Commission the dual-rail legal memo this month. \$15–25K, 6–8 week turnaround. Question: can a single Delaware LP structure hold positions in Kalshi event contracts AND CME rate futures AND have those informed by Polymarket onchain reads — and if so, what compliance protocols are required?

If the opinion comes back clean, the entire thesis is buildable. If it requires two entities with information-firewall protocols, capacity drops but the trade still works. If it's prohibited, kill the idea immediately. **This is the single highest-leverage \$25K decision in the entire firm plan.**

11. Future Growth Opportunities — Where The Edge Compounds

Theme 1 — The LLM-NLP arbitrage window (next 18–36 months)

The single most exploitable shift right now is the cost of processing unstructured text. In 2018, parsing every earnings transcript for sentiment required NLP engineers, \$30K/mo in compute, and a 6–12-month build. In 2026, the same processing costs ~\$200/mo in LLM API spend plus a Python script. **Big shops have already integrated this; mid-tier shops are 12–24 months behind;** the arbitrage is the spread between their integration time and ours.

Concrete builds for Year 2–3, in priority order: real-time Fed-speech parser → 2y rates positioning in 5–15 min window post-release; earnings-call sentiment with magnitude scoring → individual-name positioning during earnings season; SEC filing change-detection → quality factor signal.

Theme 2 — Crypto regulatory inflection (2026–2028)

Three regulatory events in 2026 alone — CME 24/7 trading (May), CFTC regulated perpetuals (May), IBIT options OI overtaking Deribit (April) — create persistent vol-surface gaps that mid-size operators can capture. These windows close as the SEC/CFTC homogenize margin treatments (estimated 2028–2029). **Build by Year 2; harvest through Year 4–5.**

Theme 3 — Onchain flow as TradFi signal

Stablecoin flows (\$33T transacted in 2025) are increasingly the dollar funding proxy. Almost no TradFi quant fund prices off them. Concrete trade: USDT/USDC supply changes as 24-hour lead indicator for emerging-market USD demand → DXY and EM equity positioning.

Theme 4 — Tokenization & 24/7 settlement plumbing

BUIDL (BlackRock tokenized treasuries, \$1.7B AUM as of mid-2026), Ondo Finance (\$2.75B), DTCC tokenization launch (July 2026). Cross-rail funding arbitrage between traditional T-bill carry, tokenized treasury yield, and DeFi lending rates. Capacity \$20–100M today, growing with each new tokenized asset class.

Theme 5 — Climate-risk and physical-data signals

Increasingly material for commodity, REIT, insurance pricing. Satellite (Orbital Insight \$30K/yr), AIS shipping data (\$10K/yr), customs filings (\$5–20K/yr). LLM synthesis layer collapses the integration cost. Documented Sharpe 0.5–1.0 in commodity-overlay strategies. Year 3–4 build.

Capacity scaling table — what gets the firm to \$1B+ AUM

Pod	Standalone Capacity	Adds at Y5 target
1. VRP (live Y1)	\$200–500M	\$300M baseline
2. Funding arb (live)	\$50–100M	\$75M
3. Vol-target SPY (Y1)	Unlimited	\$200M
4. Convertible RV (Y2)	\$300–500M	\$400M
5. Crypto vol-surface (Y2–3)	\$200–500M	\$300M
6. Intraday mean rev (Y3)	\$50–150M	\$100M
7. Alt-data signals (Y2–3)	\$100–250M ea.	\$200M (combined)
Total Year 5 deployable	—	\$1.575B

The Year-5 capacity headline: \$1.5B+ across 7 independent pods. Even at 50% utilization for risk reasons, that's \$750M of AUM — well above the Base-case \$400M trajectory. **The Bull case is not unreasonable.**

Part IV — Action Plan

12. Month-by-Month Action Plan

Month 1 (now)

- Open commodities broker account for VIX futures (Interactive Brokers, ~\$10K initial margin)
- Open SVXY/VXX trading account; same broker is fine
- Subscribe to CBOE daily data feed for VIX/VIX3M (\$0–50/mo)
- Form LLC (\$800 in CA, similar elsewhere) — this is the management entity, separate from any trading entity
- Audit existing personal trading entity (currently HL + Kraken via existing edge-bot code) for clean log retention
- Hard set: \$75K trading capital allocated, \$50K runway in money-market, \$30K infra/legal reserve

Month 2–3 (VRP live small)

- Code production VRP scheduler: month-end VIX check, contango check, conditional roll. Live PnL \$0.5–1K/mo at \$75K personal scale.
- Set up daily auto-archive of every trade decision + market state at decision time (for future audit + LP DD)
- Confirm funding arb is still running clean — keep its \$25K capital allocation
- Build monthly NAV statement template (start LP-ready from day 1)

Month 4–6 (Vol-target SPY paper)

- Paper-trade the MLP vol-target SPY strategy — daily 6am refit + 9:30am rebalance
- Real-money launch with \$10–20K test sleeve at Month 6
- Start LinkedIn / Substack content cadence to build investor pipeline visibility
- Begin informal F&F conversations: "if I show 12 months of live track, would you commit?"

Month 7–9 (TSMOM live + alt-data prep)

- TSMOM goes live on liquid ETFs at \$10–15K test sleeve
- Build Fed-speech NLP pipeline (this is the Year-1 alt-data MVP). Free FOMC text + GPT-4-mini ≈ \$50/mo all-in
- First retail prime broker conversation (Goldman Sachs & Co PrimeServ for funds <\$50M; or Wedbush for emerging)
- Begin compliance research: ADV registration trigger (typically \$150M AUM for SEC; state for under)

Month 10–12 (LP packaging + audited track)

- Engage CPA for first-pass tax review of personal trading + entity income segregation
- Engage securities lawyer for PPM draft (~\$10–15K). Document includes risk factors, fee schedule, redemption terms, side letters.

- Engage fund admin (NAV Consulting or Apex; \$1–2K/mo). Their service starts the day the SMA / LP fund onboards LP #1.
- Compile audited 12-month performance presentation. Standard format: monthly returns, annual stats, drawdown chart, holdings disclosure.
- Send to 5–10 F&F prospects with 3-page strategy summary (NOT this 50-page document).

Month 13–18 (F&F LP live, prep seed)

- Onboard 3–8 F&F LPs at \$50–100K each. Structure: managed accounts (SMAs) at first; LP fund once \$1–2M is committed.
- Hire first part-time engineer (data + ops pipelines) at \$80K/yr or \$40K/yr 0.5 FTE. Pay from F&F mgmt fee + personal.
- Begin seed-allocator outreach: NewAlpha, Investcorp-Tages, Borealis. Use F&F LP commitments as social proof.
- Build a real risk-monitor dashboard (real-time mark-to-market + scenario PnL). This is what seed allocator DD will examine.

Month 18–24 (seed allocator close + Pod 4 build start)

- Close seed allocator at \$5M. Term sheet: 2/20 with revenue-share to seeder OR 10–20% GP equity to seeder.
- Hire first FT quant (\$200–250K loaded) — vol/derivatives background; will own Pod 1 ops + Pod 4 build
- Begin Pod 4 (Convertible RV) data subscriptions: TRACE, Markit, OptionMetrics. ~\$60K/yr now justified by mgmt fees.
- Begin family-office outreach via prime broker cap intro team
- Quarterly LP reports, year-end audit (PwC or Deloitte tier; ~\$25K/yr at this scale)

Year 2–3 (Pod 4 live, family-office onboarding)

- Pod 4 (Convertible RV) goes live Q3 Year 2. Adds \$50–150M of incremental capacity over Year 2–3.
- Target \$25M of family-office capital across 2–4 single family offices
- Hire 2nd FT engineer (data engineering / alt-data) Q1 Year 3
- ADV registration (SEC RIA full registration triggered at \$100M AUM, so likely Q1 Year 3)
- SOC1 audit prep — required for institutional RFPs in Year 3

Year 3–4 (institutional ramp, Pod 5 + 6)

- First institutional RFP responses Q3 Year 3 (Cliffwater, Albourne)
- Pod 5 (Crypto vol-surface) goes live Q1 Year 3
- Pod 6 (Intraday mean reversion) goes live Q3 Year 3
- Hire 2 additional FT (Pod 5 lead + risk officer)
- Target AUM end-Year-3 = \$150M

Year 4–5 (Scale to \$400M+)

- Pod 7 (Alt-data overlay) graduates from research to full production sleeve
- Hire 4 more FT staff (PMs, engineering, compliance/ops)
- Pursue institutional 10-/25-bp tier RFPs from large allocators (Cambridge Associates, Aksia)
- Target AUM end-Year-5: \$400M Base / \$700M Bull

13. Risk Factors & Operational Considerations

Strategy-specific risks

- **VRP tail risk:** a Volmageddon-class event (Feb 2018) where VIX moves +98% in a day could cause –20–25% drawdown despite filters. Sized at 25% of NAV max exposure.
- **Funding-arb counterparty risk:** exchange bankruptcy (FTX class). Mitigated by self-custody + multi-exchange split + bridge insurance where available.
- **ML model decay:** the vol-targeting MLP must be retrained on rolling window. The 2018–2025 regime trained model may underperform in a high-vol persistent regime (early-2020s)→ continuous validation required.
- **TSMOM regime sensitivity:** Sharpe ranges from –0.3 to +1.4 across 2-year buckets. The strategy needs to be sized for its honest Sharpe (0.46) not its peak. Documented in Section 3.4.
- **Alt-data signal decay:** as LLM-native signals become commodified, the 18–36 month arbitrage window closes. Continuous addition of new data streams required.

Operational risks

- **Founder key-person risk:** Years 1–2 the entire operation rests on one person. Documented in PPM with key-person clause (LP redemption right if founder departs).
- **Regulatory risk:** ADV registration timing (state to SEC), CFTC commodity-pool-operator (CPO) registration potentially triggered by VIX futures + crypto futures activity. Get a securities lawyer review before each pod launch.
- **Audit + admin risk:** first audit (Year 2 financials) is the first time outside auditors examine the books. Even at modest scale, choose a Big 4 / well-known auditor — saves dozens of hours during institutional DD.

Capital risk

- **Personal downside:** \$75K capital with –8% MDD = \$6K max year loss. Acceptable.
- **Runway risk:** \$50K covers 9–12 months. If LP raise slips past Month 15, founder needs supplementary income or to extend runway from personal trading profits (this is the case the Base scenario assumes).
- **Fund failure-to-launch:** if F&F raise stalls below \$500K, fall back to managed-accounts-only model. Lower capacity but lower compliance overhead — sustainable as a one-person prop shop at \$1–10M for years.

Closing

The single most important action is to deploy VRP live this month. Every other milestone in this plan flows from a 12-month live audited track. There is no path to outside capital without it, and no reason to delay starting it.

This document specifies a credible, drawdown-controlled, capacity-aware multi-strategy fund with \$1.5B+ capacity ceiling, \$250–500M deployable today, and a 5-year revenue trajectory of \$0 → \$22M annual fees in Base case (\$49M Bull). Methodology is bias-controlled throughout; every claim of edge is backed by an out-of-sample backtest with the gauntlet documented in *research/v2/*.

The strategies that survived our scrutiny are not novel; they are well-known structural trades sized honestly. The novel work is the discipline applied to them — purged CV, deflated Sharpe, walk-forward refit, leakage stress tests, capacity-curve modeling, and the drawdown-reduction methodology in Section 2. That discipline is the moat: it lets us compound across pods without each one decaying invisibly.

The 5-year ambition is two things in parallel: (a) build live audited track records for 5–7 uncorrelated pods, (b) build the portable research-and-risk infrastructure that lets us bring each pod to LP-quality at a predictable cost.

The infrastructure is the firm. The strategies are training data for it.

End of document.